Portugal Data Intelligence 2026

Macroeconomic Analysis 2010–2025

March 2026

Agenda

I. STABILITY ACHIEVED

- Executive Summary & Scorecard
- Fiscal Transformation & Debt Sustainability
- Banking System Cleanup

II. GROWTH & EMPLOYMENT

- GDP Recovery Trajectory
- Labour Market Turnaround
- Inflation: From Deflation to Target
- Financial Conditions

III. POSITION & OUTLOOK

- EU Benchmarking & Convergence
- Cross-Pillar Dynamics
- Risk Matrix & Strategic Recommendations

Economic Dashboard

Comprehensive overview of all macroeconomic indicators

Portugal completed the most significant macroeconomic transformation in the Eurozone: from bailout recipient to fiscal surplus in one decade.

FISCAL STABILITY

137.5% → 97.6%

Debt/GDP

3.8% of GDP

Budget Balance

2.2%

NPL Ratio

GROWTH & EMPLOYMENT

75.2%

Cumulative GDP Growth

18.2% → 5.6%

Unemployment

€28.4bn

GDP per Capita

RISKS TO WATCH

18.6%

Youth Unemployment

+17 pp above EU average

Debt/GDP vs EU Gap

GDP/capita ~70% of EU avg

Productivity Gap

STRATEGIC IMPLICATION: The era of easy growth (crisis recovery + inflation-driven nominal expansion) is ending. Future convergence depends on productivity gains, not cyclical tailwinds.

Scorecard: Then vs Now

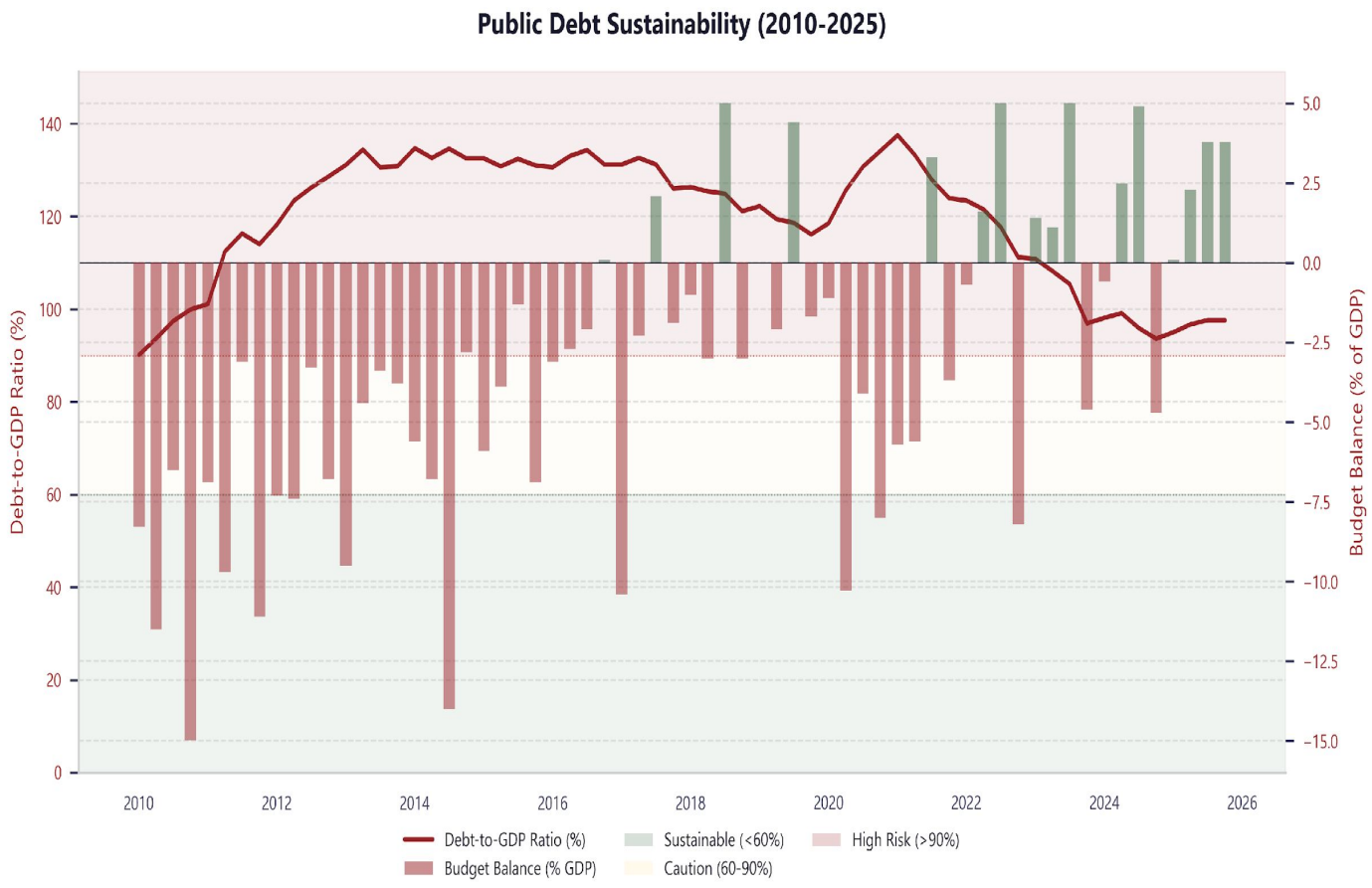
Key metrics at crisis peak (2013) vs latest data

Metric	Crisis Peak	Latest	Change	Signal
Unemployment	18.2%	5.6%	-12.6 pp	✓ Improved
Debt/GDP	137.5%	97.6%	-39.9 pp	✓ Improved
Budget Balance	-10.3%	3.8%	+14.1 pp	✓ Improved
NPL Ratio	17.9%	2.2%	-15.7 pp	✓ Improved
10Y Bond Yield	13.8%	3.1%	-10.7 pp	✓ Improved
GDP per Capita	€16,000	€28,390	€+12,390	✓ Improved

Every major macro indicator has improved since the crisis peak. The question is no longer 'will Portugal stabilise?' but 'can Portugal converge with core Europe?'

Debt Below 100% for First Time Since 2011

Government debt, deficit, and sustainability metrics



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

97.6%
Debt-to-GDP

3.8%
Budget Balance (% GDP)

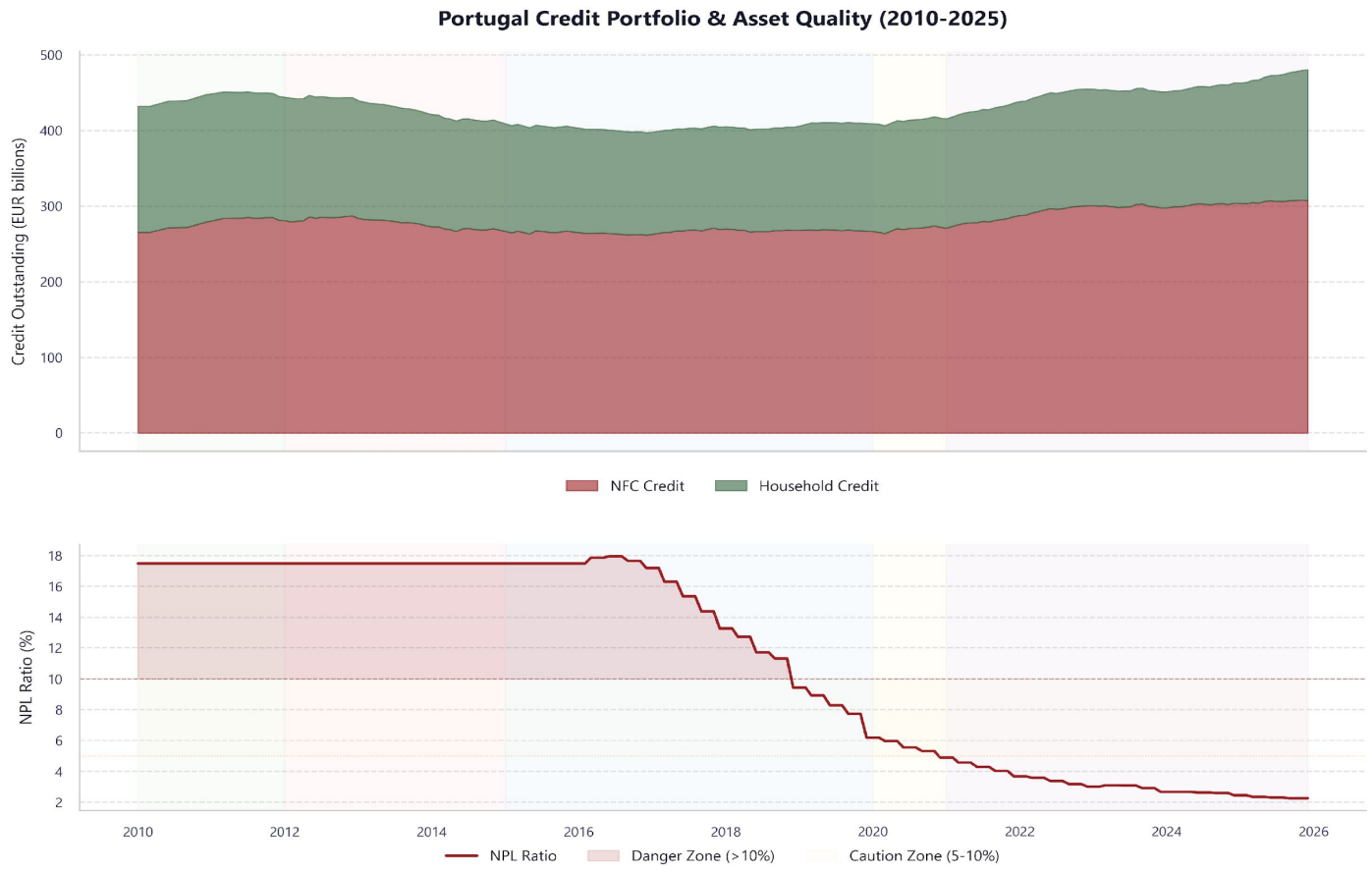
137.5% (2021-Q1)
Peak Debt-to-GDP

- Total debt: €294.4bn
- External share: 46.1%
- Above Maastricht 60% threshold but improving

Debt below 100% of GDP for the first time since 2011, with a budget surplus. The policy imperative: use fiscal space for productivity investment, not consumption.

Banking Cleanup Complete: NPL From 17% to 2%

Bank lending and non-performing loan dynamics



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

€851.3bn
Total Credit Stock

2.2%
NPL Ratio

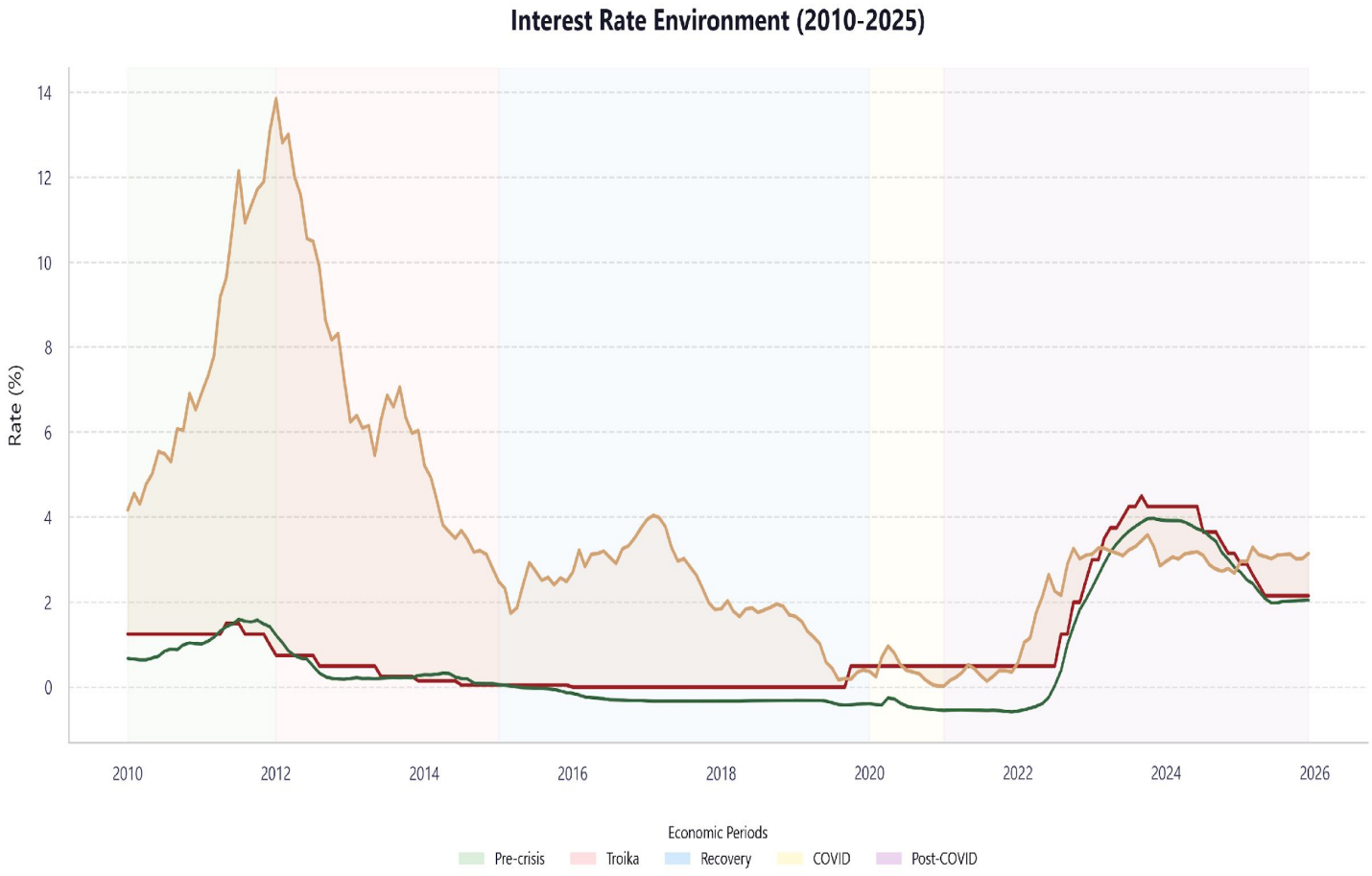
17.9% (2016-06)
Peak NPL Ratio

- NFC lending: €307.4bn
- Household lending: €172.9bn
- NPL ratio improved significantly from peak

The banking system is clean. NPL at 2% means banks can lend productively again. Watch the credit/GDP ratio (397%) — if credit quality deteriorates, the clean-up gains reverse.

Sovereign Risk Normalised: Spread Near Zero

ECB policy rates, Euribor, and sovereign yields



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

2.1%
ECB Main Refi Rate

2.0%
Euribor 3M

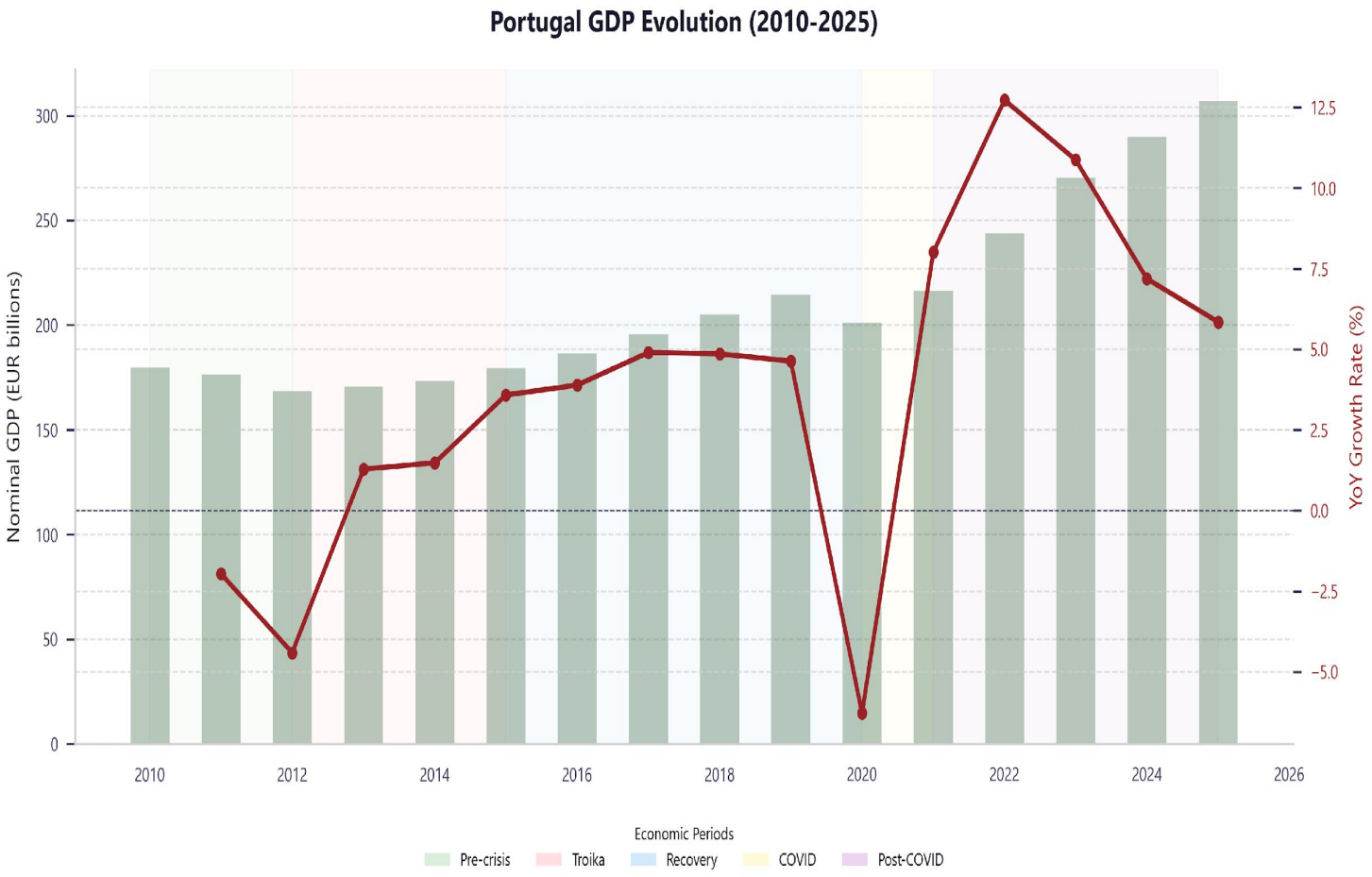
3.1%
PT 10Y Bond Yield

- Euribor 12M: 2.3%
- Sovereign spread: 0.9% over Euribor 12M
- Peak yield: 13.8% (2012-01)

Sovereign risk is fully normalised. The spread compression from 1000bps to near-zero translates directly into lower refinancing costs and restored market confidence.

GDP: 75.2% Cumulative Growth Since 2010

Nominal GDP evolution and year-on-year growth trajectory



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

€78.5bn
Latest Nominal GDP

6.0%
YoY Growth Rate

€28.4bn
GDP per Capita

- Deepest contraction: -14.5% (2020-Q2)
- Strongest growth: 17.2% (2021-Q2)
- Period: 2025-Q4

GDP Deep Dive

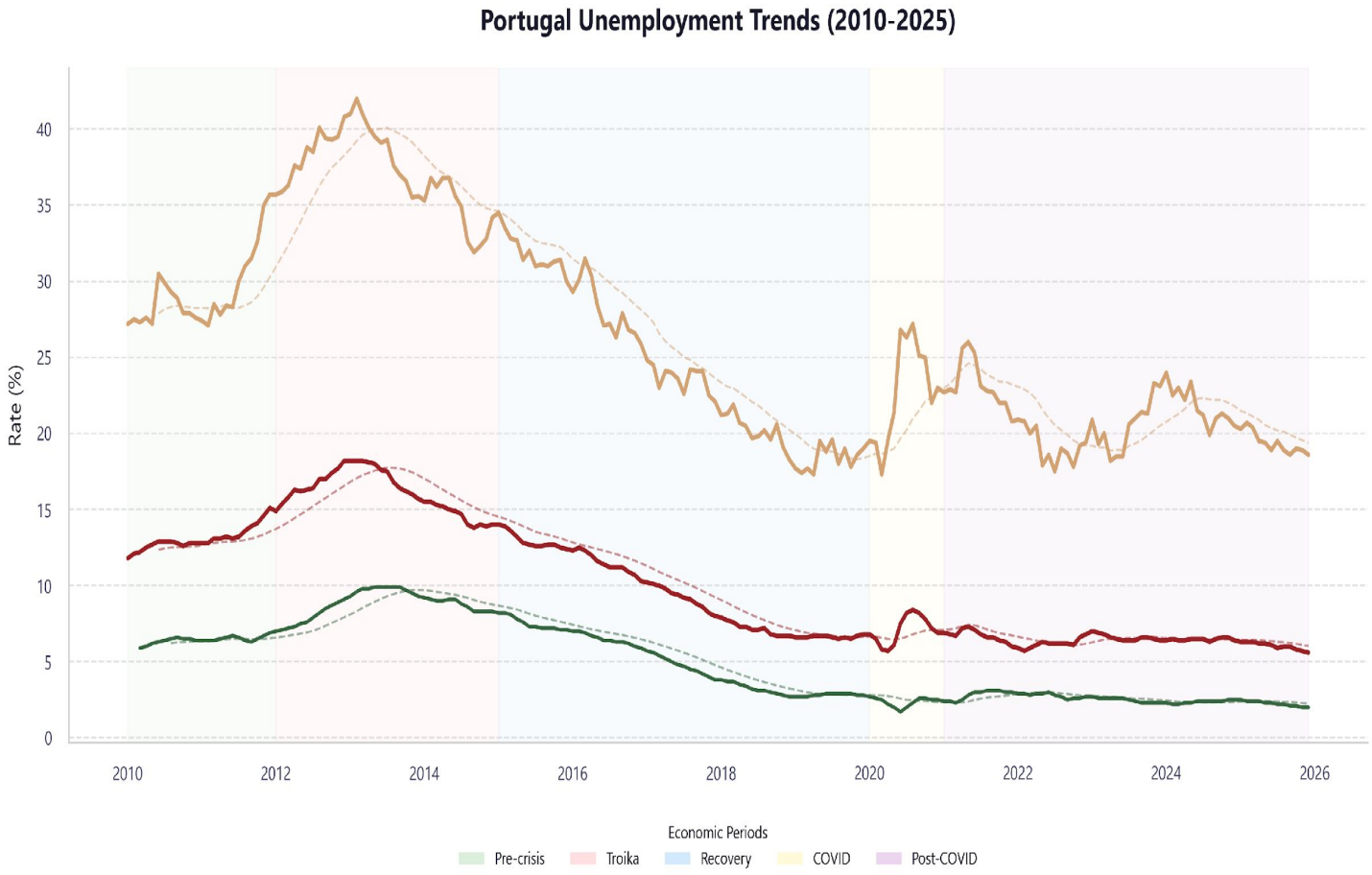
Average growth rates across economic periods

Economic Period	Avg. GDP Growth (YoY)	Assessment
Pre-crisis (2010-2011)	-2.0%	Contraction
Troika (2012-2014)	-0.5%	Weak
Recovery (2015-2019)	4.4%	Strong
COVID (2020-2021)	0.9%	Moderate
Post-COVID (2022+)	9.2%	Strong

KEY FINDING: Portugal's economy demonstrated remarkable resilience, achieving cumulative growth of 75.2% over 2010–2025 despite sovereign debt and pandemic crises.

Unemployment Halved: From 17% to 6%

Labour market recovery across all segments



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

5.6%
Current Unemployment

18.6%
Youth Unemployment

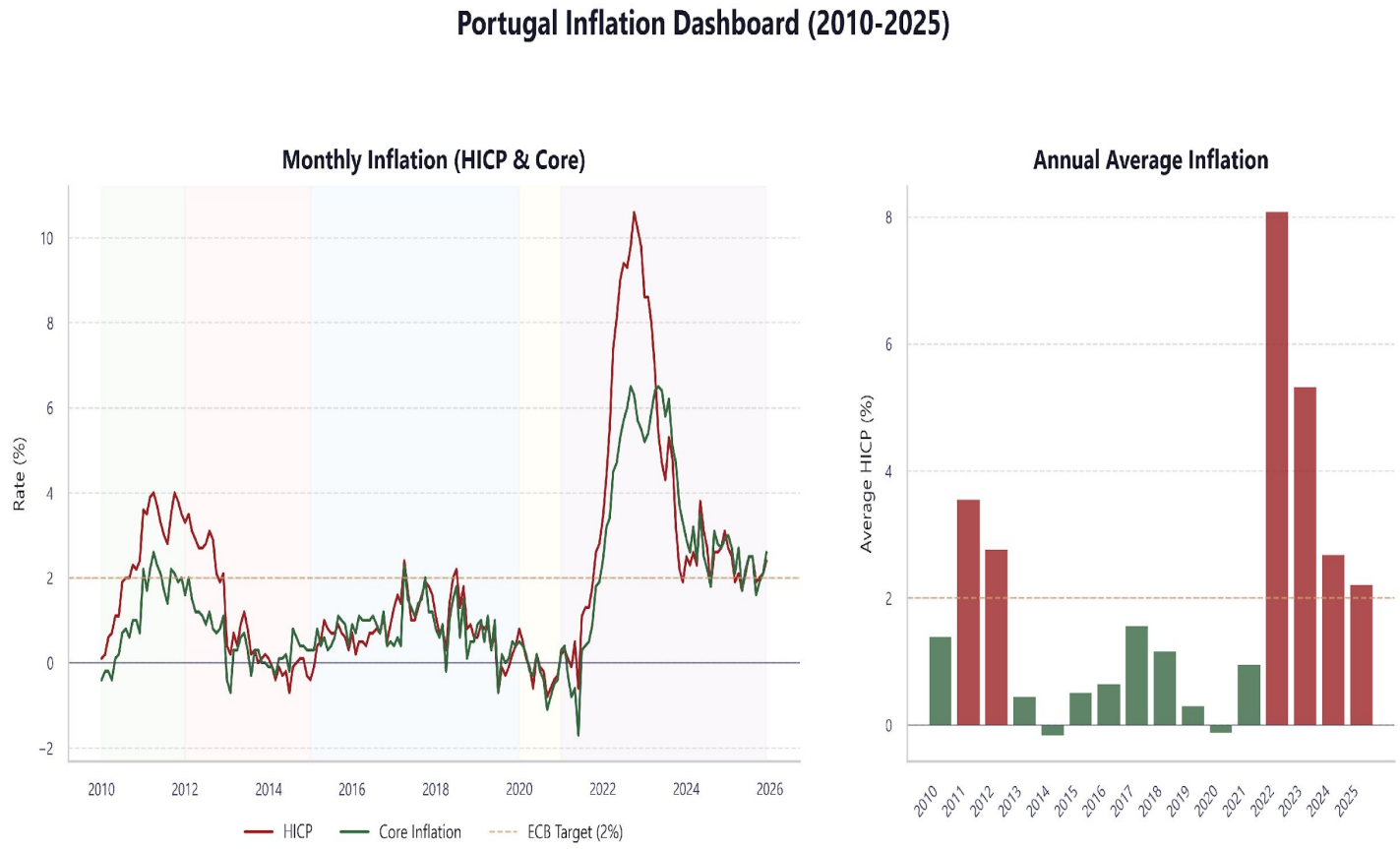
18.2% (2012-12)
Peak Rate

- Participation rate: 79.1%
- Long-term rate: 2.0%
- Significant improvement from crisis peaks

The labour market is no longer a vulnerability. At 6% unemployment, Portugal matches the EU average. The remaining risk is youth unemployment (19%) — a skills mismatch problem requiring education reform, not macro stimulus.

Inflation: Energy Shock Absorbed, Back to Target

HICP, CPI, and core inflation trends



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

2.4%
Current HICP

2.6%
Core Inflation

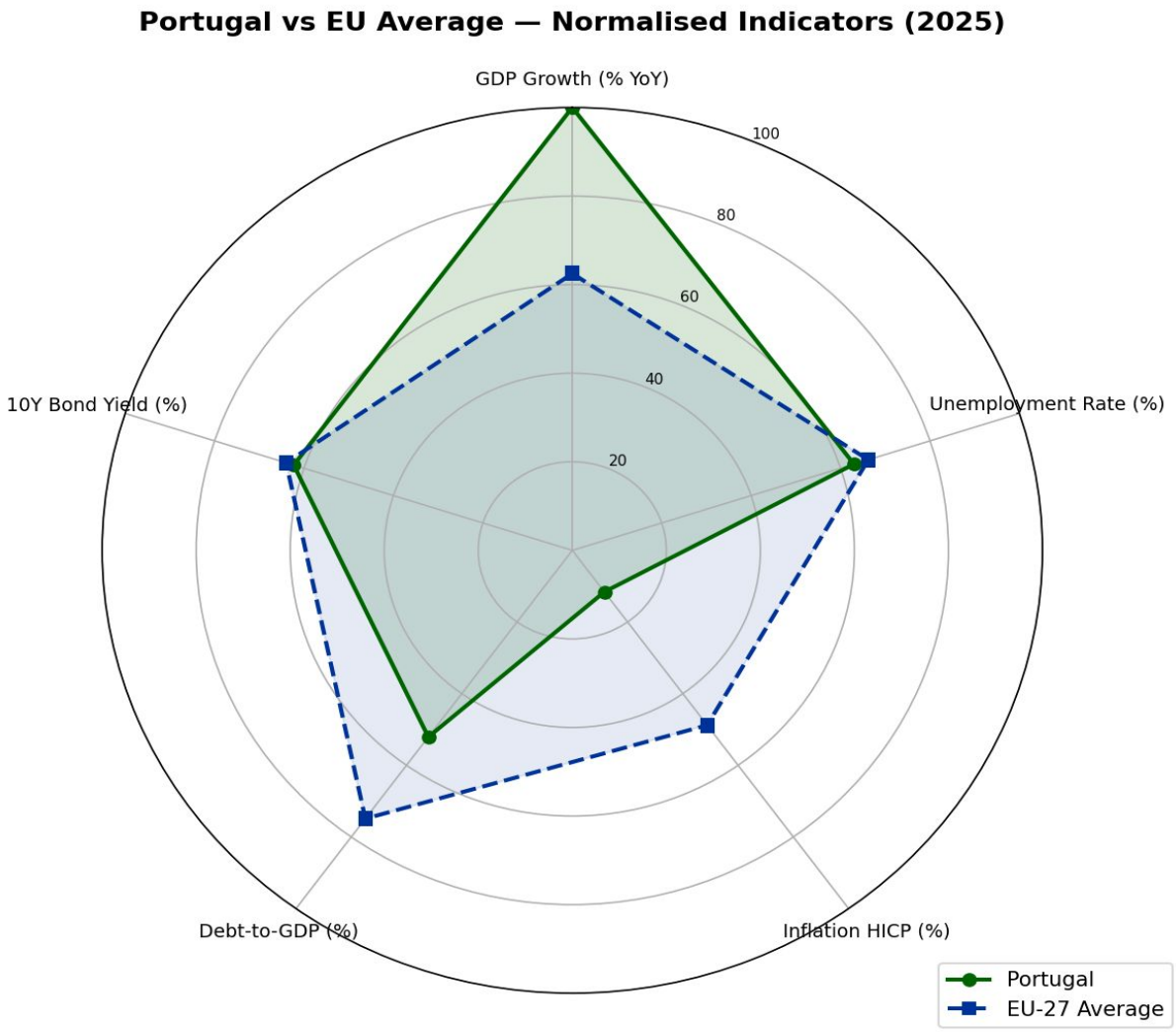
2.0%
ECB Target

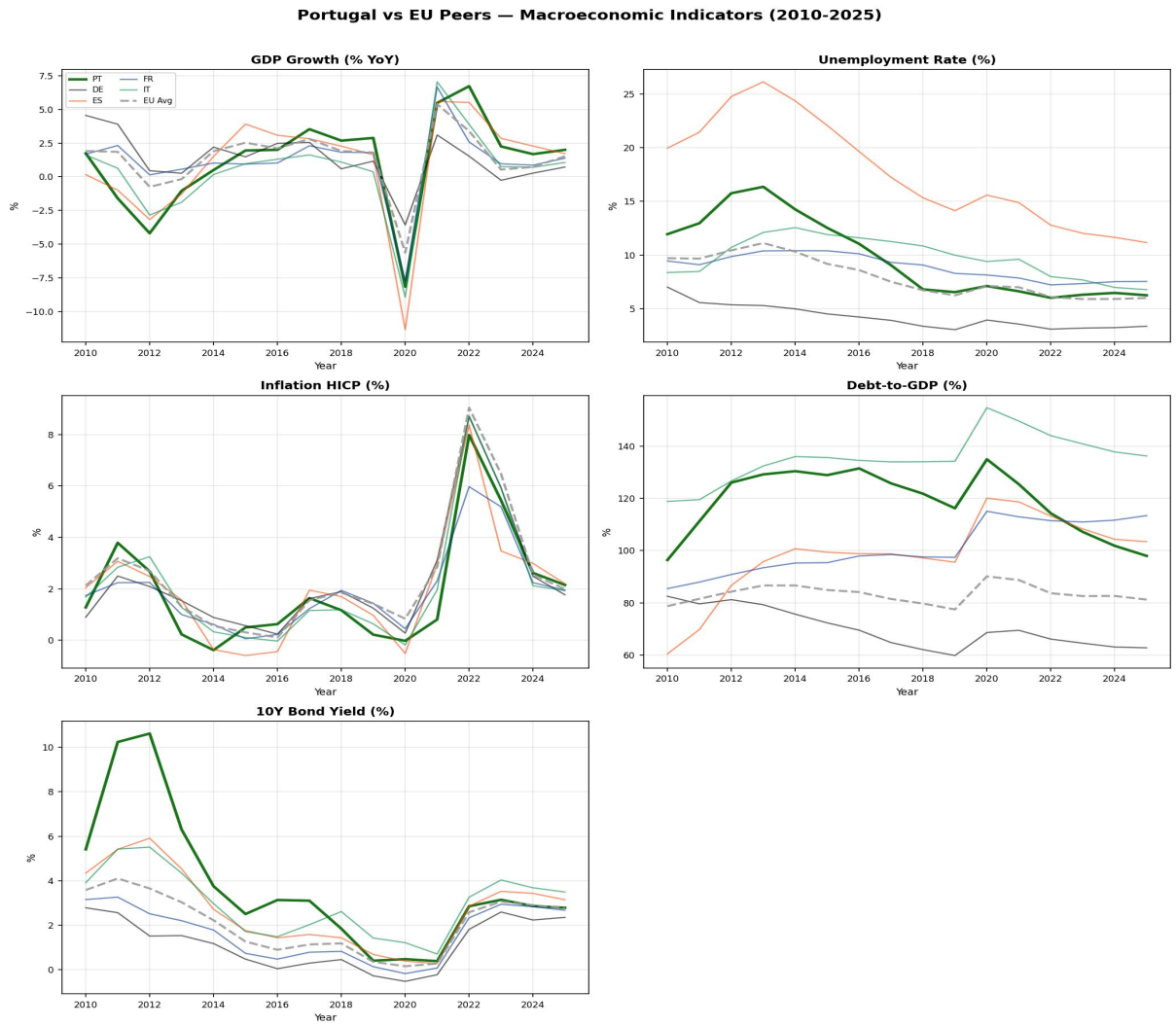
- CPI: 2.3%
- Peak HICP: 10.6% (2022-10)
- Currently above ECB 2% target

The 2022 energy shock was absorbed without a wage-price spiral. Inflation is back near the ECB 2% target. Paradoxically, the inflation spike accelerated debt/GDP reduction via nominal GDP growth.

Converging With Europe: Gaps Closing

Portugal performance relative to European averages

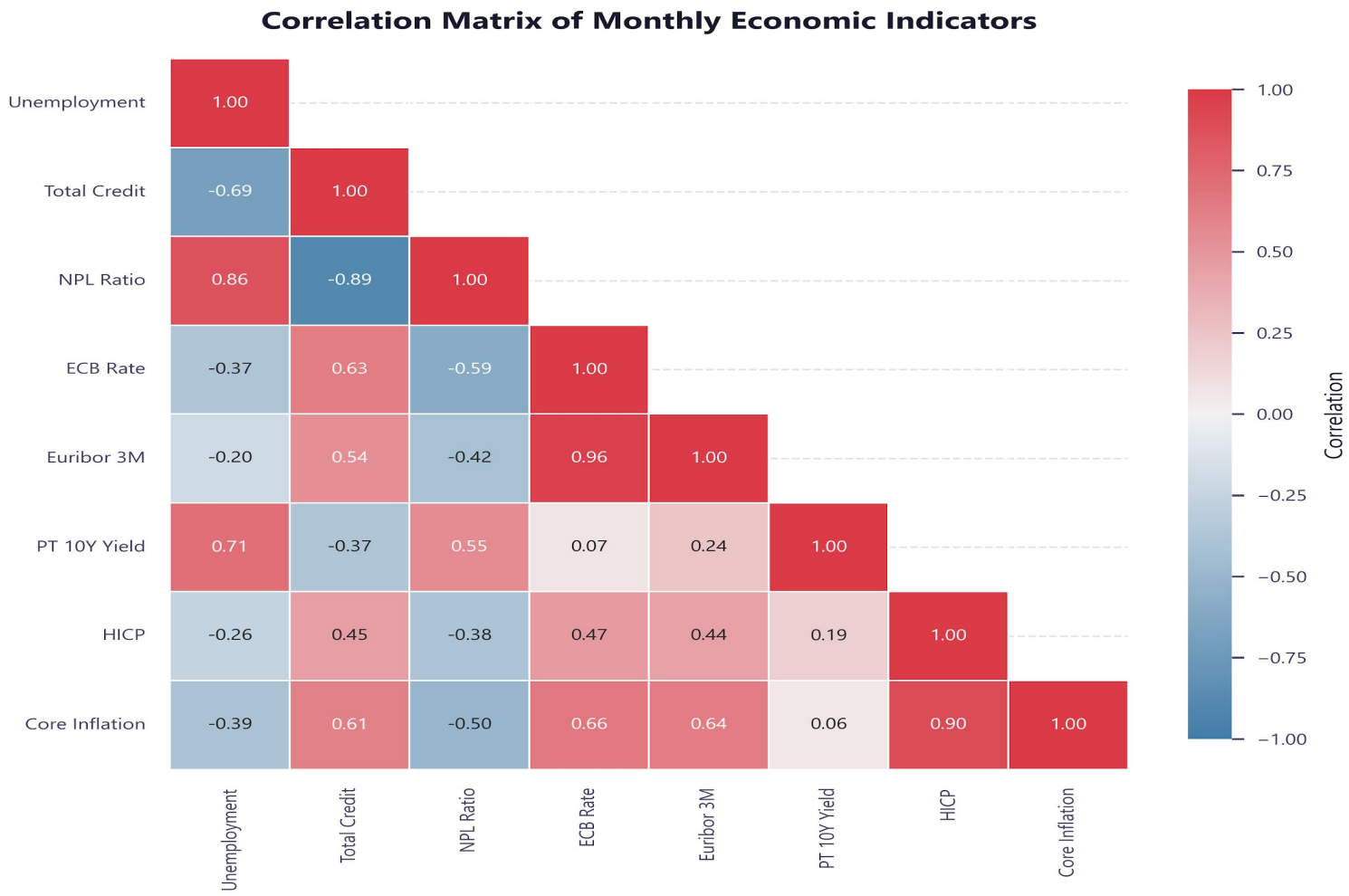




Sources: Eurostat, ECB, Banco de Portugal | EU-27 weighted averages

How the Pillars Connect

Interdependencies between macroeconomic indicators



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

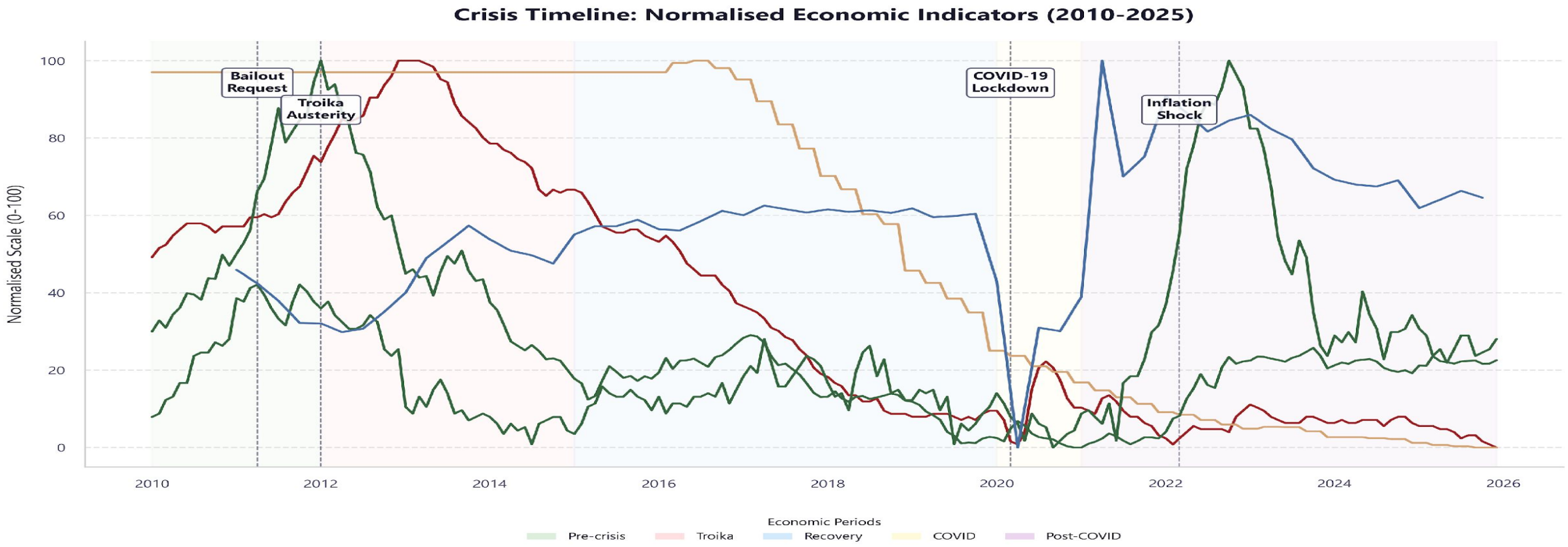
Key Correlations

- GDP growth is inversely correlated with unemployment
- Interest rates strongly influence credit dynamics
- Public debt rises during low-growth periods
- Inflation shows complex relationships with all pillars
- Post-crisis deleveraging visible across credit and debt

Strong correlations between unemployment-NPL (r=0.86) and ECB rate-Euribor (r=0.96) confirm tight monetary transmission. These linkages amplify both recovery and risk.

15 Years in Perspective: Four Shocks, One Trajectory

Major economic events impacting Portugal (2010–2025)



Source: Portugal Data Intelligence | Synthetic data based on INE, BdP, Eurostat

Four major shocks in 15 years, each with different transmission channels. The economy's response time shortened with each shock — a sign of institutional learning.

Key events: Eurozone Debt Crisis (2010–12) | Troika Bailout (2011–14) | Recovery & Tourism Boom (2015–19) | COVID-19 Pandemic (2020–21) | Energy Crisis & Inflation Surge (2022–23) | Monetary Tightening (2022–24)

Risk Matrix

Pillar-level risk assessment and mitigations

Pillar	Risk Level	Key Risk	Mitigation	Status
GDP	LOW	Growth slowdown / recession	Diversify economic drivers	● LOW
Unemployment	LOW	Structural unemployment persistence	Active labour market policies	● LOW
Credit	LOW	NPL deterioration in tightening cycle	Prudential supervision	● LOW
Inflation	LOW	Price stability deviation from target	ECB policy pass-through	● LOW
Public Debt	MEDIUM	Debt sustainability pressure	Fiscal consolidation programme	● MEDIUM
Interest Rates	MEDIUM	Sovereign spread widening	Credible fiscal framework	● MEDIUM

Strategic Recommendations

Evidence-based policy and investment considerations

SHORT-TERM (0–12 months)

- Protect the budget surplus — resist expansionary pressure to preserve fiscal credibility
- Monitor credit/GDP ratio — total credit growing faster than GDP despite NPL at 2.2%

MEDIUM-TERM (1–3 years)

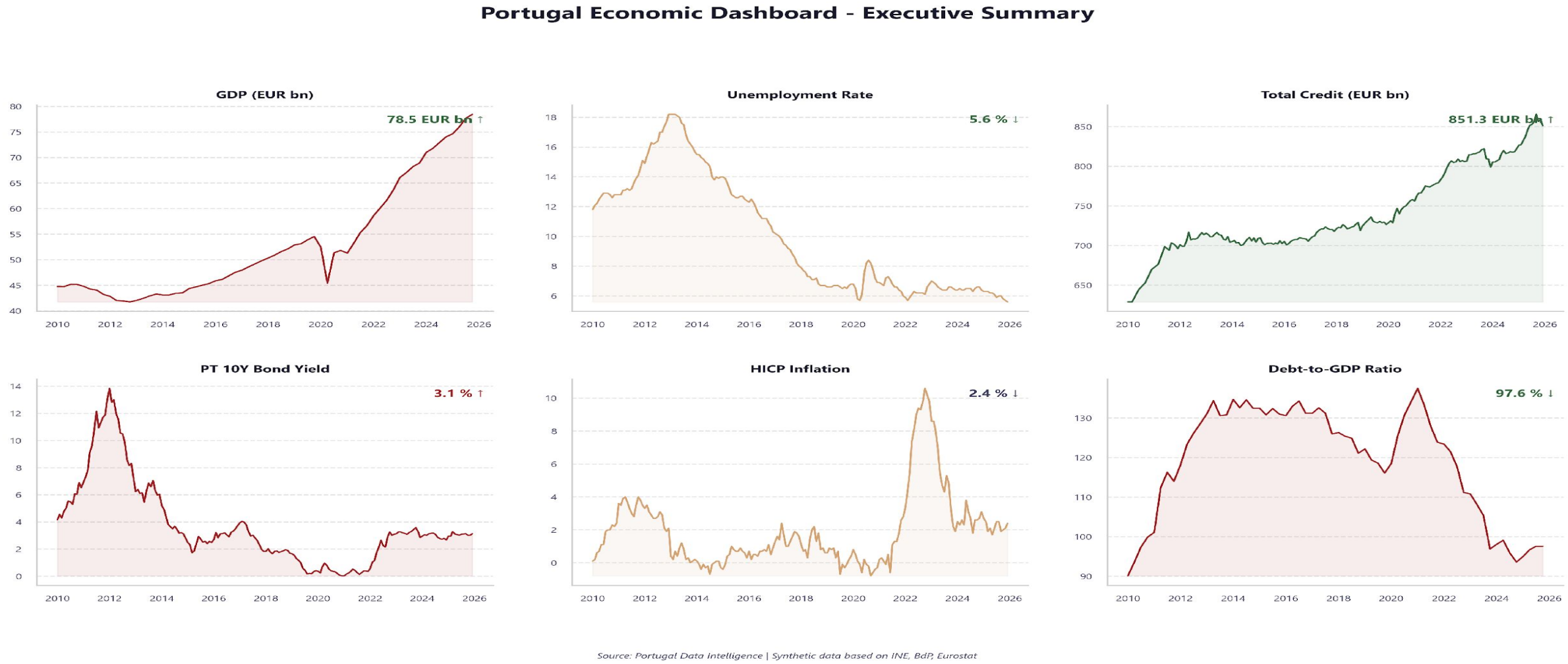
- Address youth unemployment (17% est.) — dual-education programmes and first-job incentives
- Accelerate debt reduction from 98% towards 80% — use surplus for amortisation, not spending

LONG-TERM (3–5+ years)

- Close the productivity gap — GDP per capita still ~70% of EU average; invest in I&D above 2% GDP
- Build counter-cyclical fiscal buffers for the next downturn — stabilisation fund from surplus years

Six Pillars, One Story

All indicators confirm the recovery-to-stability trajectory



All six indicators show the same arc: crisis (2010-2013), recovery (2014-2019), COVID dip (2020), and normalisation (2021-2025). The consistency across pillars confirms this is structural, not cyclical.

Thank You

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